

only bright spot among its acquisitions

	FY19	FY20	FY21
	1,140.60	1,257.00	1,035.50
	328.3	439.2	247.2
	196.9	165.8	43.6
	40	51	8.5

ANDALONE FIGURES IN ₹ CRORE; **SOURCE** TOFLER

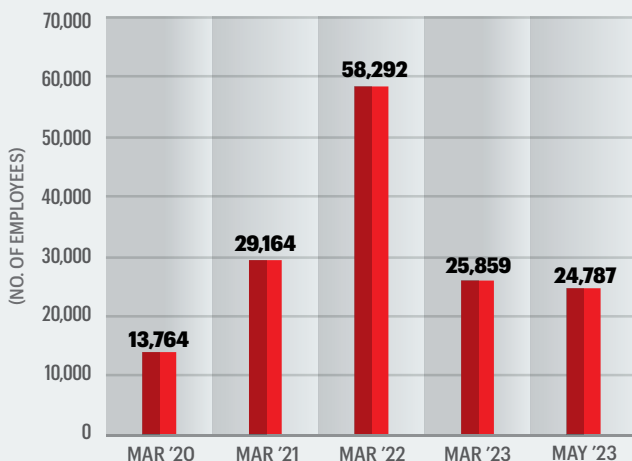
	Great Learning			Osmo		
	Cash on the books	Revenue	PAT	Cash on the books	Revenue	PAT
	NA	209	-74	2	598	-229
	NA	316	-307	22	NA	NA

IN ₹ CRORE; **SOURCE** BYJU'S FY21 FINANCIAL STATEMENT, TOFLER

- IN MARCH 2023, AAKASH HAD FORECAST IT WOULD TRIPLE ITS REVENUE AND PROFITS AFTER BEING ACQUIRED BY BYJU'S
- NOW, BLACKSTONE AND THE FOUNDERS OF AAKASH, WHO HOLD 30 PER CENT, HAVE REFUSED TO SWAP EQUITY WITH BYJU'S

DRASTIC MEASURES

Byju's has more than halved its number of employees from the peak of March 2022



SOURCE PRIVATECIRCLE RESEARCH

- BYJU'S HAS EXECUTED MULTIPLE ROUNDS OF LAYOFFS OVER THE PAST YEAR, REDUCING ITS WORKFORCE BY MORE THAN HALF FROM MARCH 2022 TO MAY 2023
- THE COMPANY HAS VACATED SOME OF ITS OFFICE SPACES IN BENGALURU AFTER SIGNIFICANT LAYOFFS
- SOME DISMISSED EMPLOYEES HAVE ALLEGED THAT THE COMPANY COERCED THEM INTO RESIGNING

| COVER STORY BYJU'S |

are souring, and its India business is struggling. Byju's is also fighting a term loan issue. The crisis does not bode well for India's start-up ecosystem. But there are lessons to be learnt.

Byju's, which prided itself on its interactive learning method from kindergarten to Class 12, is silent on questions investors have. A fresh fund infusion is critical, but prospective lenders are unlikely to cut a big cheque to Byju's when they don't know what (or how) it has been doing over the last financial year. (The company has not filed the audited financial reports for FY22 and FY23.)

Byju's appointed its first chief financial officer (CFO), Ajay Goel, in April 2023. The law doesn't require unlisted companies such as Byju's to have a CFO, but good corporate governance does. It is very unusual for a company of Byju's scale not to have a CFO, especially when it raises truckloads of capital and makes big-ticket acquisitions.

"No one knows what the real numbers are, and that is not a comfortable situation for a potential investor," says Satish Meena, Principal Analyst at Datum Intel.

Even if Byju's snags a new suitor, the funding will not be a straightforward equity deal but a heavily structured one at a fraction of Byju's peak valuation.

There has been a lack of transparency on the part of the edtech firm, which has also taken up too much debt. An investment banker, requesting anonymity, points out that Byju's will have to use any fresh capital first to lighten its debt burden. "Which investor would want to do that? You want to put money to grow the company. Also, how will somebody even determine the valuation of this company?" asks the banker. "A mere \$200-300 million doesn't help; it has to be a large round, maybe about a billion," adds the banker. "How will you even put a structured deal for a billion dollars? That is a lot of money!"

TAKING ON DEBT

Investors are not thrilled about Byju's functioning. It's not just the absence of audited financial reports for the past two years. Byju's has a host of corporate governance issues, which, experts say, it has often ignored.

When Prosus, a Dutch technology investor, cut Byju's valuation to \$5.1 billion at the end of June, it said, "Byju's grew considerably since our first investment in 2018, but, over time, its reporting and governance structures did not evolve sufficiently for a company of that scale. Despite repeated efforts from our Director, executive leadership at Byju's regularly disregarded advice and recommendations relating to strategic, operational, legal, and corporate gover-